COMPANY ALPHA - Financial Diagnostic

Cash Flow & Working Capital Analysis | Construction Sector | SRL | Wallonia, Belgium

Construction High Risk

⚠ CRITICAL: You lost money on every project in FY2024 (negative gross margin). Your equity ratio collapsed to 16.5%. Under stress, you have 3.4 months before insolvency. You must act now.

CEO EXECUTIVE BRIEF

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You are losing money on every project you deliver. Your business is currently financed entirely by unpaid suppliers — not by profits or bank credit. Without immediate action on pricing, receivables, and financing, you face a high probability of insolvency within months.

TOP 3 CRITICAL RISKS

1. **Negative gross margin.** Every project you complete costs you more than it earns. The more you work, the faster you lose money.
2. **100% supplier-financed.** Your EUR 7,065 cash exists only because you owe EUR 18,537 to suppliers. If one demands payment, your cash vanishes overnight.
3. **Zero liquidity buffer.** No bank credit line, no reserves, no provisions. One client default or one delayed project wipes you out in 3.4 months.

TOP 3 IMMEDIATE ACTIONS

1. **Raise prices 20% on all new contracts — this week.** Your gross margin is negative. Stop accepting work that loses money.
2. **Collect EUR 10,853 from clients within 30 days.** Send collection notices Monday. Require 30-50% advance on every new contract.
3. **Secure a bank credit line of EUR 10-15K — this week.** You have zero safety net. One shock = insolvency.

FINANCIAL DIAGNOSTIC

2
/ 10

Financial Health Score: 2 / 10 — CRITICAL

- Profitability: critical
- Liquidity: weak
- Solvency: critical
- Cash quality: artificial
- Safety net: none

⚠ Liquidity Risk Timeline

Now
Cash: 7,065 EUR (supplier-financed)

Month 2
Cash tension begins. Monthly burn erodes reserves.

Month 3-4
High insolvency risk. One supplier demand = crisis.

Month 6+
Without intervention: insolvency becomes inevitable.

✅ Immediate Actions — Next 30 Days

1

Fix Pricing Immediately

Raise all new contract prices by minimum 20%. Stop accepting projects below cost. Audit your top 3 contracts this week.

Impact: Reverse operating loss within 60-90 days

2

Accelerate Receivables Collection

Send collection notices to all overdue clients. Require 30-50% advance payment on every new contract starting immediately.

Impact: Free up EUR 10,853 within 30 days

3

Secure Emergency Credit Line

Contact your bank this week. Apply for EUR 10-15K credit line. You currently have zero safety net against any shock.

Impact: Extend survival horizon to 12+ months

EXECUTIVE OVERVIEW

NET RESULT FY2024

-1,713 EUR

▼ -147% vs FY2023 (+3,647)

First full fiscal year

CASH POSITION

7,065 EUR

▲ +242% vs FY2023 (2,065)

Your cash comes from supplier credit, not profit

EQUITY RATIO

16.5%

▼ -70% vs FY2023 (55.1%)

Your equity is critically below 25% threshold

DEBT / EQUITY

5.08x

▲ from 0.82x in FY2023

You have zero credit line — all short-term

CURRENT RATIO

1.15

▼ from 2.22 in FY2023

Below safe threshold (1.5)

WORKING CAPITAL

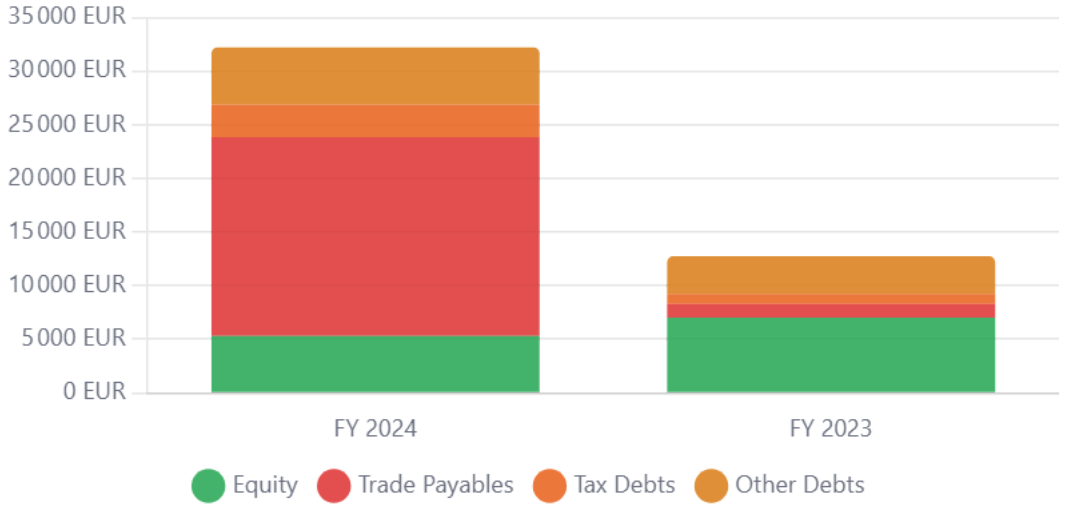
4,069 EUR

▼ -42% vs FY2023 (7,013)

Your WC is shrinking despite 153% balance sheet growth

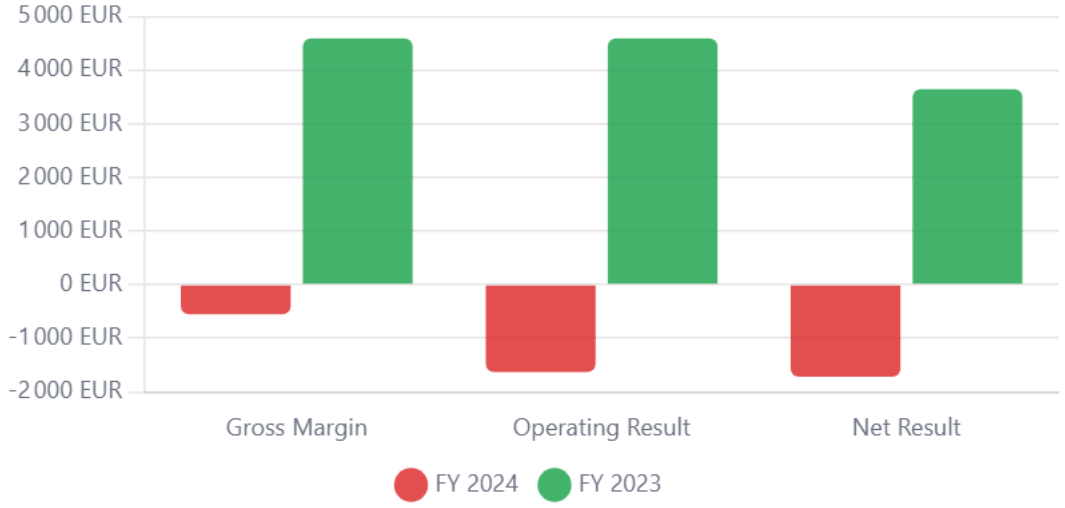
Balance Sheet Composition

FY2024 vs FY2023 - Assets & Liabilities structure



Profitability Swing

From profit to loss in one year



⚠ You Are Losing Money on Every Project

Your gross margin swung from +4,591 EUR to **-551 EUR**. **So what?** Every additional project you accept increases your losses. You cannot grow your way out of this — you must fix pricing before taking any new work.

⚠ Your Growth Is Destroying Cash & Equity

Your balance sheet grew 153% but equity fell 24%. **So what?** Growth is eating your company alive. You are financing expansion with supplier IOUs, not profits. This is a ticking time bomb — when suppliers call in their debts, your growth reverses into collapse.

⚠ No Bank Will Lend to You

Your equity ratio collapsed to 16.5% (below the 25% alarm threshold). Debt-to-equity at 5.08x. **So what?** At this level, banks will not provide financing. You have no ability to borrow your way out of a crisis. Your only option is to generate cash from operations — which are currently negative.

⚠ Dividend Distribution Weakened Your Foundation

You distributed EUR 1,633 as dividends in FY2023 (45% of net profit). **So what?** That cash is gone. It could have been your emergency buffer. With only EUR 5,000 in capital, every euro of equity matters for survival.

⚠ One Shock Away From Insolvency

Zero credit line. Zero reserves. Zero provisions. Your cash of 7,065 EUR against 26,915 EUR in obligations. **So what?** You have no ability to absorb any shock — a client default, a cost overrun, a supplier demanding payment. Any one of these triggers a cascade to insolvency.

CASH FLOW ANALYSIS

CASH FROM OPERATIONS

+6,499 EUR

122% from WC changes, not profit

FREE CASH FLOW

+4,999 EUR

After CAPEX of -1,500 EUR

CASH BALANCE

7,065 EUR

Up from 2,065 EUR

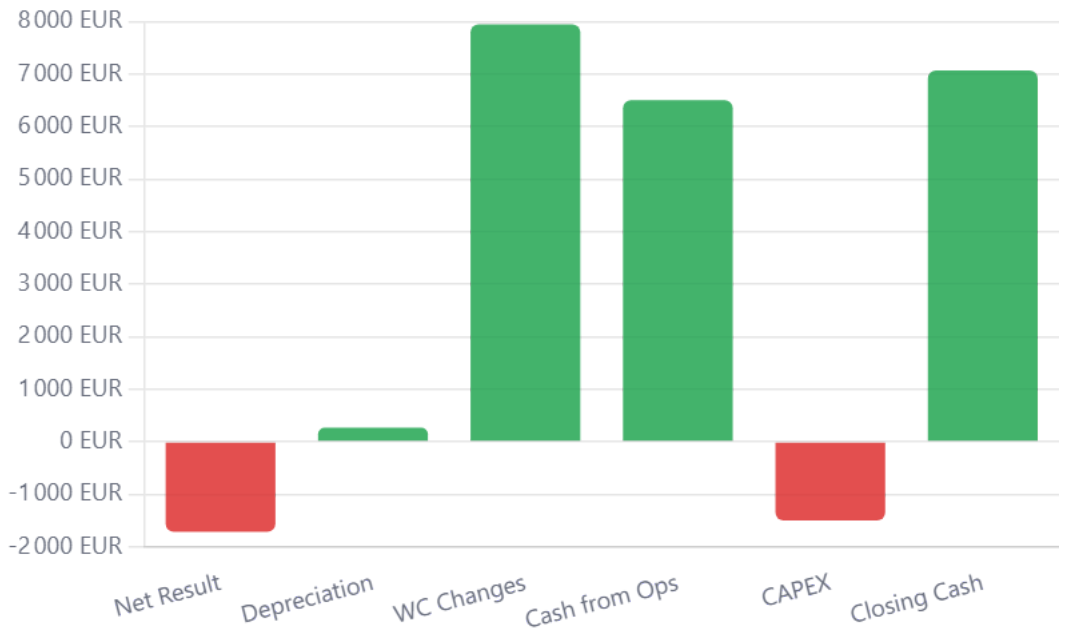
OPERATING CASH (EXCL. WC)

-1,445 EUR

True operating cash = negative

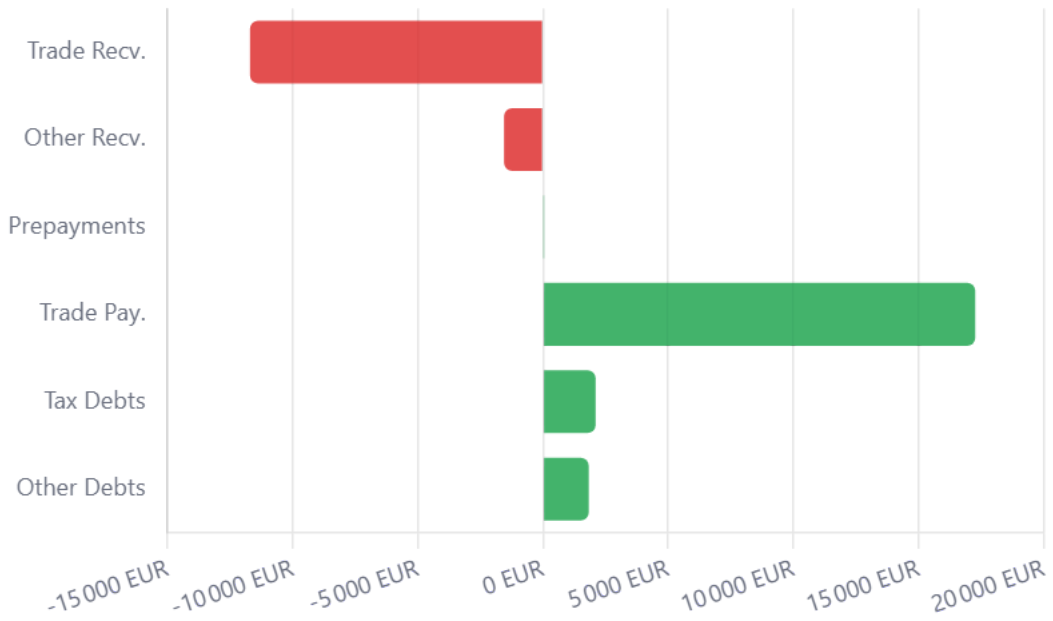
Cash Flow Waterfall

From net result to closing cash - indirect method reconstruction



Working Capital Impact on Cash

Breakdown of WC changes driving cash generation



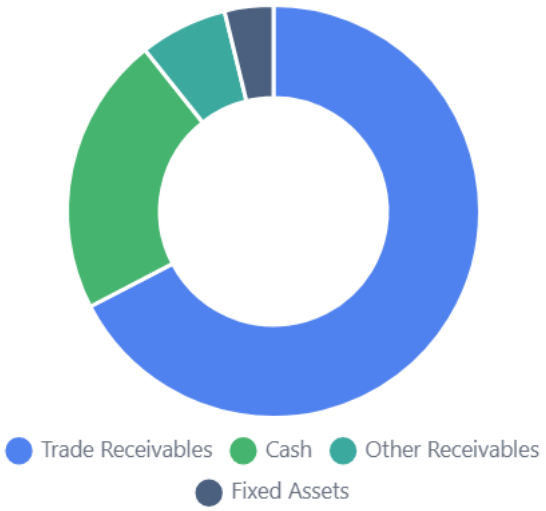
Cash Flow Statement - Indirect Method (FY2024)

LINE ITEM	AMOUNT (EUR)
OPERATING ACTIVITIES	
Net Result	-1 713,35 EUR
(+) Depreciation	268,03 EUR
= Cash before WC changes	-1 445,32 EUR
Working Capital Changes:	
Change in Trade Receivables	-11 706,00 EUR
Change in Other Receivables	-1 558,29 EUR
Change in Prepayments	19,00 EUR
Change in Trade Payables	17 263,72 EUR
Change in Tax Debts	2 099,69 EUR
Change in Other Debts	1 826,08 EUR
= Total WC Change	7 944,20 EUR
CASH FROM OPERATIONS	6 498,88 EUR
INVESTING ACTIVITIES	
Capital Expenditure	-1 500,00 EUR
FREE CASH FLOW	4 998,88 EUR
Opening Cash	2 065,00 EUR
CLOSING CASH	7 064,66 EUR

BALANCE SHEET

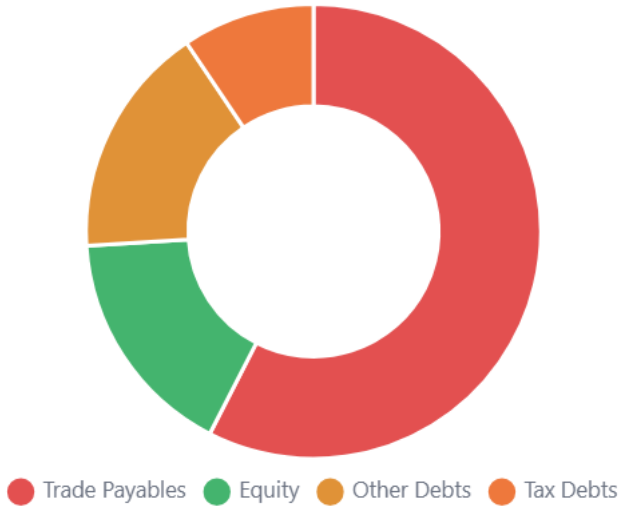
Assets Breakdown - FY2024

Total: 32,216 EUR



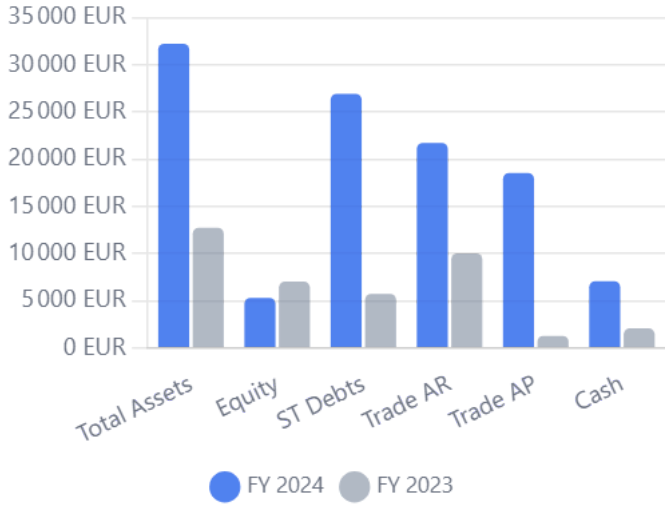
Liabilities Breakdown - FY2024

Total: 32,216 EUR



Year-over-Year Change

FY2024 vs FY2023



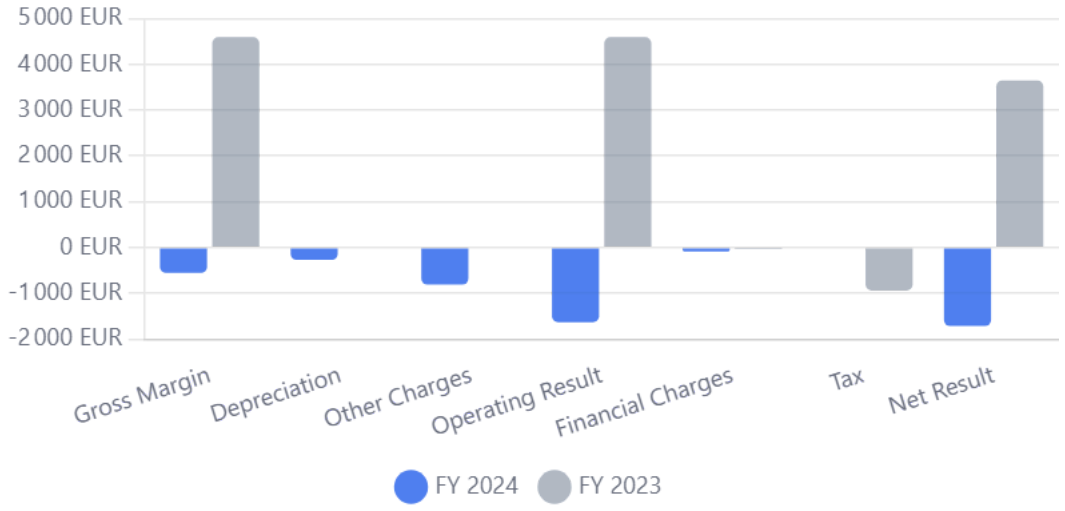
Comparative Balance Sheet

LINE ITEM	FY 2024 (EUR)	FY 2023 (EUR)	CHANGE (EUR)	CHANGE (%)
ASSETS				
Fixed Assets	1 231,97 EUR	0,00 EUR	1 231,97 EUR	-
Installations & Equipment	1 231,97 EUR	0,00 EUR	1 231,97 EUR	-
Current Assets	30 983,95 EUR	12 739,00 EUR	18 244,95 EUR	143.2%
Trade Receivables	21 706,00 EUR	10 000,00 EUR	11 706,00 EUR	117.1%
Other Receivables	2 213,29 EUR	655,00 EUR	1 558,29 EUR	237.9%
Cash & Equivalents	7 064,66 EUR	2 065,00 EUR	4 999,66 EUR	242.1%
TOTAL ASSETS	**32 215,92 EUR**	**12 739,00 EUR**	19 476,92 EUR	**152.9%**
LIABILITIES & EQUITY				
Equity	5 300,43 EUR	7 014,00 EUR	-1 713,57 EUR	-24.4%
Capital	5 000,00 EUR	5 000,00 EUR	0,00 EUR	0.0%
Retained Earnings	300,43 EUR	2 014,00 EUR	-1 713,57 EUR	-85.1%
Short-term Debts	26 915,49 EUR	5 726,00 EUR	21 189,49 EUR	370.1%
Trade Payables	18 536,72 EUR	1 273,00 EUR	17 263,72 EUR	1356.1%
Tax Debts	3 036,69 EUR	937,00 EUR	2 099,69 EUR	224.1%
Other Debts	5 342,08 EUR	3 516,00 EUR	1 826,08 EUR	51.9%
TOTAL LIABILITIES	**32 215,92 EUR**	**12 739,00 EUR**	19 476,92 EUR	**152.9%**

INCOME STATEMENT

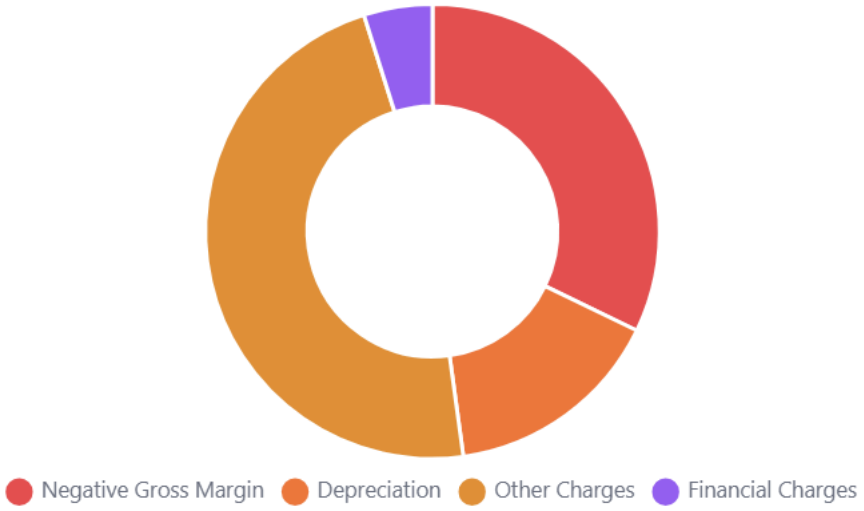
P&L Comparison: FY2024 vs FY2023

Dramatic reversal from profit to loss



Cost Structure - FY2024

Breakdown of charges eroding the margin



Comparative Income Statement

LINE ITEM	FY 2024 (EUR)	FY 2023 (EUR)	CHANGE (EUR)
Gross Margin	-551,41 EUR	4 591,00 EUR	-5 142,41 EUR
(-) Depreciation	-268,03 EUR	-0,00 EUR	-268,03 EUR
(-) Other Operating Charges	-810,18 EUR	-0,00 EUR	-810,18 EUR
OPERATING RESULT	-1 629,62 EUR	4 591,00 EUR	-6 220,62 EUR
(+) Financial Income	0,01 EUR	0,00 EUR	0,01 EUR
(-) Financial Charges	-83,74 EUR	-8,00 EUR	-75,74 EUR
RESULT BEFORE TAX	-1 713,35 EUR	4 583,00 EUR	-6 296,35 EUR
(-) Tax	-0,00 EUR	-937,00 EUR	937,00 EUR
NET RESULT	-1 713,35 EUR	3 647,00 EUR	-5 360,35 EUR

WORKING CAPITAL

WORKING CAPITAL

4,069 EUR

▼ -42% from 7,013

NET TRADE POSITION

3,169 EUR

▼ -64% from 8,727

AR > AP = Financing clients

TRADE RECEIVABLES

21,706 EUR

▲ +117% (from 10,000)

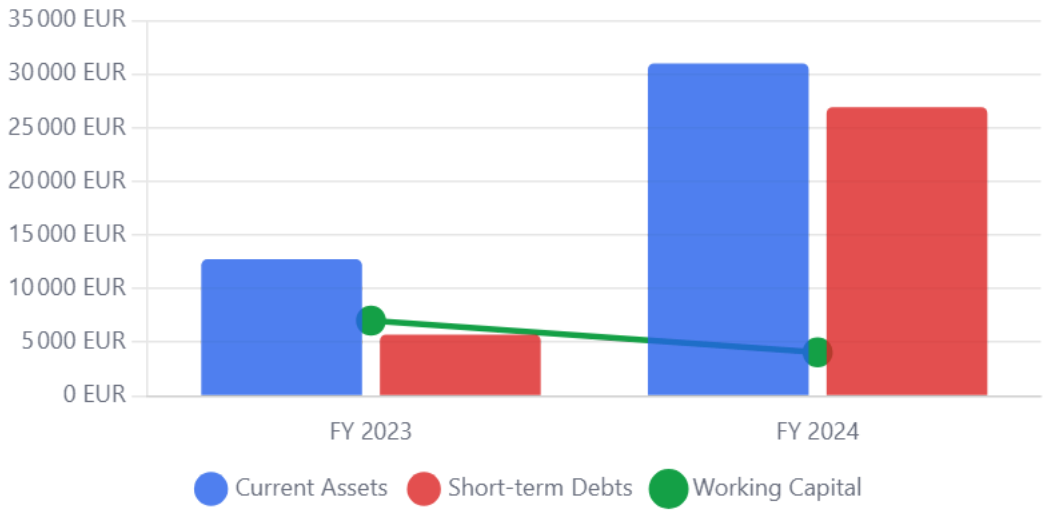
TRADE PAYABLES

18,537 EUR

▲ +1,356% (from 1,273)

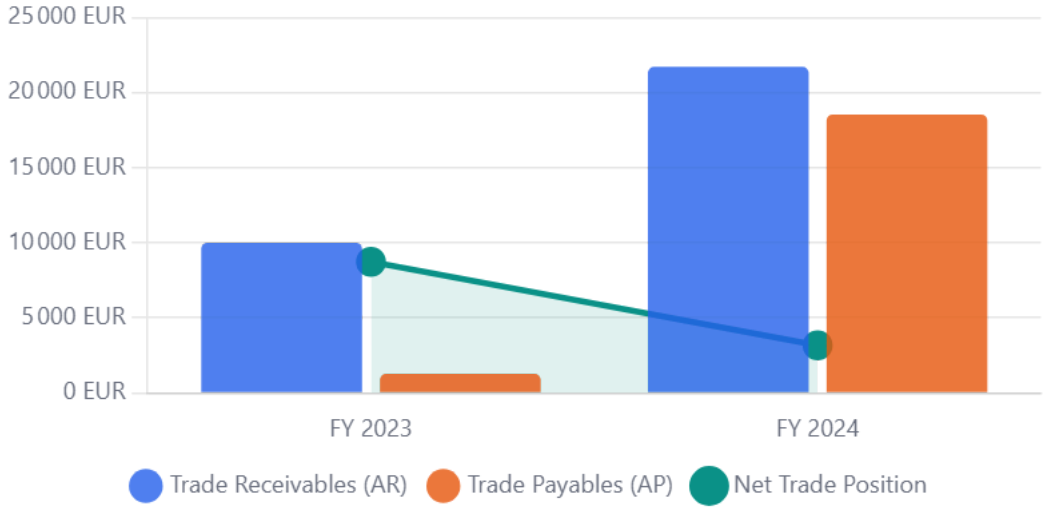
Working Capital Evolution

Current Assets vs Short-term Debts



Trade Position: AR vs AP

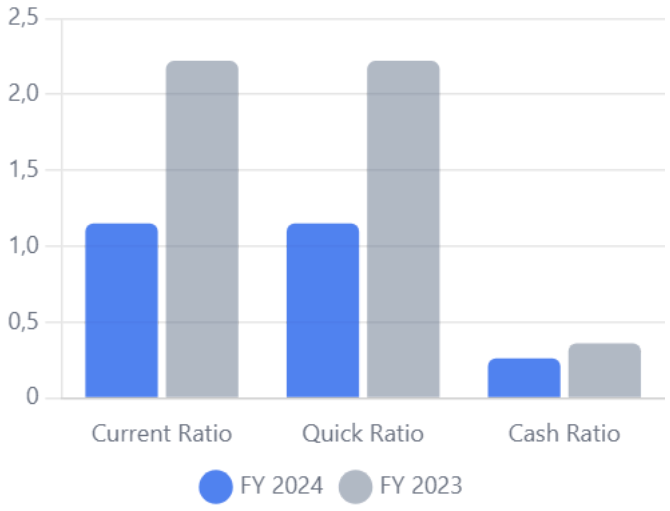
You are financing your clients



FINANCIAL RATIOS

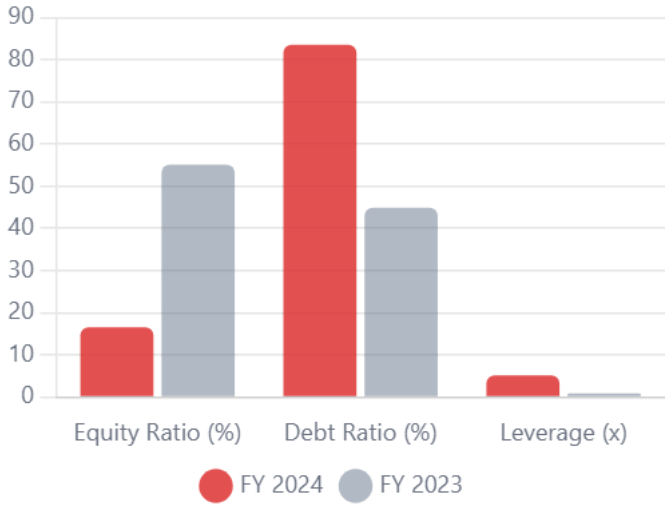
Liquidity Ratios

FY2024 vs FY2023



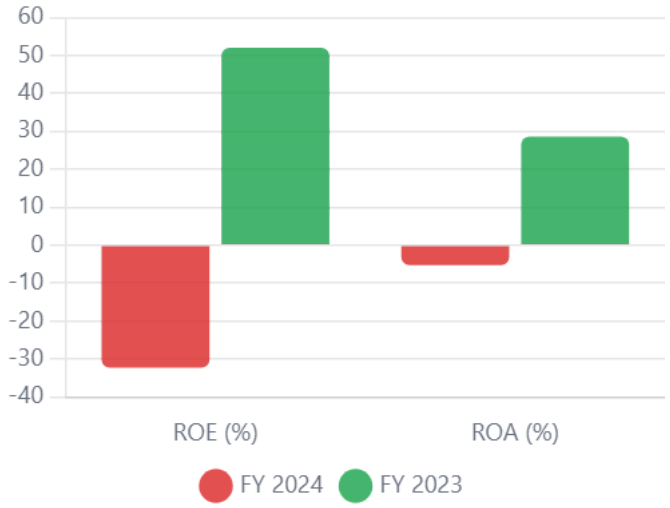
Solvency Ratios

Capital structure deterioration



Profitability Ratios (%)

From profitable to loss-making



Financial Ratios Dashboard

CATEGORY	RATIO	FY 2024	FY 2023	ASSESSMENT
LIQUIDITY	Current Ratio	1.15	2.22	**LOW (< 1.5)**
LIQUIDITY	Quick Ratio	1.15	2.22	**LOW**
LIQUIDITY	Cash Ratio	0.26	0.36	**VERY LOW**
SOLVENCY	Equity Ratio (%)	16.50	55.10	**CRITICAL (< 25%)**
SOLVENCY	Debt Ratio (%)	83.50	44.90	**HIGH**
SOLVENCY	Leverage (D/E)	5.08	0.82	**VERY HIGH**
PROFITABILITY	ROE (%)	-32.30	52.00	**NEGATIVE**
PROFITABILITY	ROA (%)	-5.30	28.60	**NEGATIVE**

SCENARIO ANALYSIS

⚠ **Important: Base case is misleading.** The 49.5-month survival estimate assumes suppliers will continue financing your operations indefinitely. This is unrealistic. Suppliers can demand payment at any time. The realistic survival horizon under stress is 3–6 months.

REALISTIC SURVIVAL HORIZON

3 – 6 months

Based on worst-case analysis: 30% receivables default + supplier payment demand. This is the scenario you must plan for.

BASE CASE

Current loss trajectory continues

49.5

months survival

Monthly burn: 143 EUR | Cash: 7,065 EUR

Misleading: assumes AP keeps growing

BEST CASE

Accelerate 50% of receivables collection

125.5

months survival

Additional cash: +10,853 EUR | Total: 17,918 EUR

WORST CASE

30% receivables default + 15% cost increase

3.4

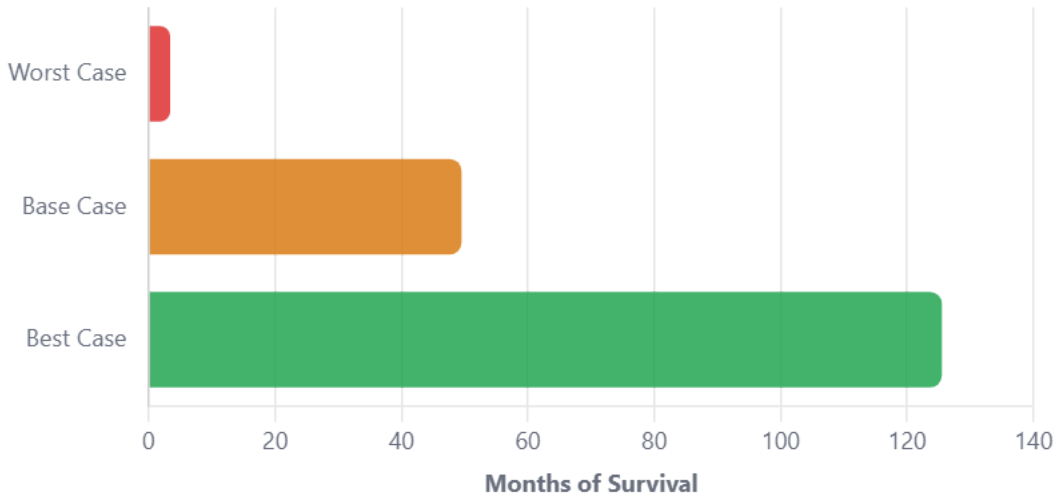
months survival

Receivables loss: -6,512 EUR | Cash left: 553 EUR

CRITICAL: Near-immediate insolvency risk

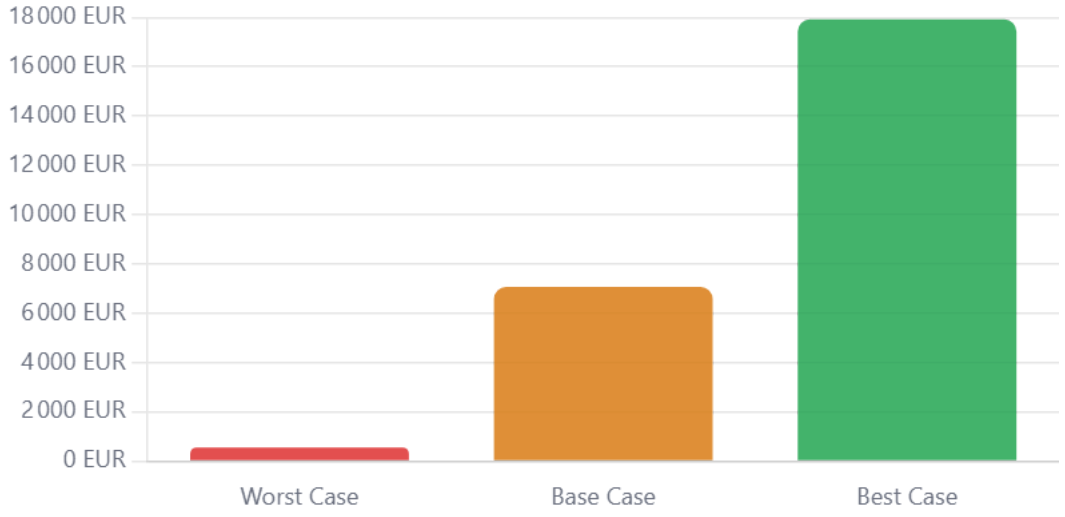
Survival Horizon Comparison

Months of runway under each scenario



Cash Position Under Scenarios

Available liquidity by scenario



RECOMMENDATIONS

URGENT

Review pricing immediately

Gross margin is NEGATIVE. Ensure minimum 15-20% margin on ALL construction projects. This is the root cause of the financial deterioration.

Impact: Fix core profitability - existential issue

URGENT

Accelerate receivables collection

Implement strict 30-day payment terms with late payment penalties. Invoice immediately upon project milestone completion, not at project end.

Impact: Free up EUR 6,500-10,800 in trapped cash

URGENT

Require advance payments on new projects

Request 30-50% deposits on new construction contracts to reduce client financing exposure.

Impact: Reduce working capital requirement

HIGH

Negotiate supplier payment terms

Formalize 60-90 day payment terms with key suppliers. Current informal delays create relationship risk.

Impact: Preserve cash buffer, reduce supplier tension

HIGH

Establish a bank credit line (EUR 10,000-15,000)

No financial safety net exists. A revolving credit facility would cover worst-case scenario.

Impact: Extend worst-case survival from 3.4 to 12+ months

HIGH

Build weekly 13-week rolling cash forecast

Monitor cash position weekly with forward projections. Flag liquidity gaps 4-6 weeks in advance.

Impact: Early warning system for cash crises

MEDIUM

Consider invoice factoring for large receivables

Factor receivables > EUR 5,000 through a factoring company for immediate cash at 2-3% cost.

Impact: Immediate cash conversion

MEDIUM

Implement project-level profitability tracking

Track margins, costs, and cash flow per project. Identify and eliminate loss-making work.

Impact: Prevent hidden losses on individual projects

MEDIUM

Diversify client base

Micro entity with likely 1-3 clients = extreme concentration risk. One default could be fatal.

Impact: Reduce single-client default exposure

STRATEGIC

Stop all dividend distributions

Equity ratio at 16.5% is critical. No dividends until equity ratio exceeds 30% and profitability is restored.

Impact: Rebuild equity base and creditworthiness

STRATEGIC

Evaluate growth vs. cash trade-off

Balance sheet grew 153% but working capital fell 42%. Growth without profitability destroys cash and equity.

Impact: Sustainable scaling with positive cash generation

Company Alpha - Financial Diagnostic Dashboard | Data: Centrale des Bilans, BNB | FY 2024 (01/01/2024 - 31/12/2024) | All data anonymized for privacy

Generated on 16 April 2026 | Consulting-grade analysis